

BUY SIGNAL



HOLD SIGNAL



SELL SIGNAL



HOW THIS WORKS ?

MFI is calculated using the average money inflow and average money outflow. Whenever MFI is greater than 70, we can say that asset is in the overbought zone. However, whenever it is less than 30, we can say that that asset is in the oversold zone. In the general course, we expect MFI to stay between 30 and 70 and whenever it enters the overbought and oversold zone, we expect the price trend to come back to that 30-70 zone. Sooner or later, they do come back to the 30 to 70 channel.

TRADING SIGNALS

MFI can be used to generate trade signals like RSI. Whenever MFI is in the oversold zone, we can expect a reversal in the prices and as a result, look for other indicators to enter the asset whenever there is a price reversal. MFI does not present an exact entry point. Also, the asset can stay in the oversold zone for a while and therefore lead to losses for the trader. The same is true on the other side when the asset enters the overbought zone. This way we will use MFI to get attention to an asset and then use other indicators to confirm the entry and exit point of a trade. This is exactly how we have been using RSI.

SUITABILITY

Money Flow Index will only be used for indices, large caps, commodities and currencies. We will not use the same for small-cap and mid-cap assets.